The Defense Tax in Allied Perspective: Benchmarking US National-Defense Funding Against Peers, History, and the Hague Commitment

TAXLANE Research — panel-reviewed (revised, round 2). An educational reform model. Figures are sourced to `docs/sources/source-version-ledger.md`. Two measurement bases appear throughout and are **never merged or ranked across**: the OMB budget-function (050) basis used in the US budget (~3.0% of GDP), and the broader SIPRI/NATO definition used for alliance burden-sharing (~3.2–3.4% for the US). Peer comparisons and the recommended band are stated on the **NATO/SIPRI basis**; the OMB-function view is shown separately. The central recommendation — a defense **policy band**, not a point rate — is a **normative/strategic** judgment (the factors *bound* the level but do not *determine* it), not a derived empirical finding. No tax or national-security advice is given.

Abstract

For most budget areas this program asks whether the evidence supports a higher or lower *rate*. Defense is the area where that question is least answerable on fiscal grounds: the right level is a **strategic judgment about threats and commitments**, not a number the accounts produce. We make that limit explicit. US national defense cost **$916,140M in FY2025 — 13.1% of federal outlays** [`SRC-OMB-HIST-3-2-FY2027`] and about **3.0% of GDP on the OMB budget-function basis**, or **~3.2–3.4% on the broader SIPRI/NATO definition** [`SRC-SIPRI-MILEX-2024`, `SRC-NATO-DEFEXP-2025`]. That is **above the European NATO norm (~2.0%)** and the long-standing 2% floor, but **far below US Cold-War levels** — ~14% of GDP at the 1953 Korean-War peak, ~6.5–7% in the Reagan buildup, ~3% at the post-Cold-War low around 2000 [`SRC-OMB-HIST-6-1-FY2027`]. The live policy driver is the **25 June 2025 Hague Summit commitment: 5% of GDP by 2035 = 3.5% core defence (NATO definition) + 1.5% broader security** [`SRC-NATO-HAGUE-2025`]. Our conclusion is deliberately non-fiscal: the defensible range is a **band of roughly 2.0–3.5% of GDP (NATO/SIPRI basis)**, set by posture and threat, inside which the accounts cannot pick the point. Unlike Social Security's payroll lane, defense is funded from **general revenue and borrowing**, so "who pays" is the whole income-tax base plus future taxpayers via debt: because FY2025 ran a deficit equal to **~26% of outlays**, on a pro-rata basis roughly **a quarter of the $916B defense function (~$235B) was borrowed, not tax-funded, in-year** [`SRC-OMB-HIST-1-2-FY2027`; illustrative proportional allocation, not a legal tag]. The lane must keep that visible rather than imply a dedicated "defense tax." (Function 050 excludes veterans' benefits — function 700 — and international affairs — 150 — so the $916B is narrower than "everything military.")

1. What the US funds today

National defense is budget **function 050**. In FY2025 it cost **$916,140M** in outlays [`SRC-OMB-HIST-3-2-FY2027`; reconciled in the repo's derived profile `data/extracted/outlay_function/table-3-2-national-defense-profile.md`, which ties Table 3.2 to Table 3.1 at $916,140M]. Within function 050 the components are **subfunction 051 (Department of Defense–Military)**, **053 (atomic-energy defense activities)**, and **054 (defense-related activities)**; 051 is the overwhelming share.

Two ratios, kept separate:

- **Share of the budget:** $916,140M is **13.1% of federal outlays** (FY2025 outlays ≈ $7.0T) [`SRC-OMB-HIST-3-2-FY2027`, `SRC-OMB-HIST-1-2-FY2027`].

- **Share of the economy:** about **3.0% of GDP** on this OMB-function basis [`SRC-OMB-HIST-1-2-FY2027` for the GDP denominator].

Defense is **discretionary** spending appropriated annually, financed from the general fund — there is no dedicated "defense tax" or trust fund. It is the largest single *discretionary* function, even though mandatory health and old-age programs are each larger lines overall.

2. History: the defense share since 1940

The defense share of GDP has fallen across the postwar era, with war-driven spikes. The figures below are **approximate / illustrative** — round magnitudes consistent with OMB "Composition of Outlays" (function-050 basis), **not exact values extracted year-by-year from the cited table** [`SRC-OMB-HIST-6-1-FY2027`]; a precise per-year extraction is deferred to the data layer:

Era	National defense, % of GDP (approx., not extracted)
WWII peak (1944–45)	~37%
Korean War peak (1953)	**~14%**
Vietnam peak (late 1960s)	~9–10%
Post-Vietnam trough (late 1970s)	~4.5–5%
Reagan buildup (FY1983–85)	**~6.5–7%**
Post-Cold-War low (~2000)	**~3.0%**
Post-9/11 / Iraq–Afghanistan peak (~2010)	~4.5–4.7%
Today (FY2025)	**~3.0%**

The long trend is **secular decline**: today's ~3.0% is near the lowest sustained share since before WWII, despite absolute dollars being at record highs. The "is defense high?" question therefore has opposite answers depending on the comparator — **high versus European allies, low versus the US's own history.** Both are true; neither alone sets the right level.

3. Peer benchmark — one basis per table, never ranked across

Cross-country defense burden is measured in incompatible ways, so this section keeps each comparison to **one basis** and does not rank countries across bases:

- **NATO** uses an alliance-agreed definition for the 2% guideline [`SRC-NATO-DEFEXP-2025`].
- **SIPRI** uses a broader definition (some military pensions, paramilitary, space) — generally the *higher* number [`SRC-SIPRI-MILEX-2024`].
- The **OMB function-050** basis (used in §1–2) is a third, US-budget definition.

NATO members, NATO-2025 basis (defence expenditure % of GDP) [`SRC-NATO-DEFEXP-2025`]:

Country	Defense, % of GDP (NATO 2025)
Poland	~3.8–4.5
United States	**~3.2–3.4**
United Kingdom	~2.25–2.40
France	~2.05
Germany	**~2.0**

Country	Defense, % of GDP (NATO 2025)
NATO-Europe aggregate	**~2.0**

Non-NATO comparators, SIPRI-2024 basis (military expenditure % of GDP) [SRC-SIPRI-MILEX-2024]:

Country	Defense, % of GDP (SIPRI 2024)
Russia	~7.1
China	~1.7 (estimate)
Japan	~1.4 (rising toward 2)

The honest comparison, within basis: on the NATO 2025 basis the US (~3.2–3.4%) is **above the European NATO norm (~2.0%)** and the 2% floor, but **below Poland**; on the SIPRI basis Russia (~7.1%) is far higher and China/Japan lower. The US's **own** number differs by basis — **~3.0% on the OMB function-050 basis vs ~3.2–3.4% on the NATO/SIPRI basis** — which is a **definitional gap, not a discrepancy**; the two are never netted or placed in the same ranking.

A burden-sharing caveat the peer table cannot show: the US underwrites a **global posture** (forward bases, carrier groups, the extended nuclear deterrent over NATO and Indo-Pacific allies) that a single European ally does not. "Above the European norm" is a real burden-sharing fact, but it is **not by itself** a finding that US defense is too high — the roles being compared differ.

4. The live driver: the Hague 5%-by-2035 commitment

On **25 June 2025**, NATO heads of state agreed at The Hague to **invest 5% of GDP annually on defence and security by 2035**, split into **at least 3.5% of GDP on core defence (NATO definition) + up to 1.5% on broader security** (critical-infrastructure protection, networks, civil preparedness, the defense-industrial base), with a **review in 2029** [SRC-NATO-HAGUE-2025]. This supersedes the old **2% guideline** (endorsed 2006; reaffirmed at the 2014 Wales Summit as a goal "within a decade"; "at least 2%" at the 2023 Vilnius Summit) [SRC-NATO-DEFEXP-2025].

Two honest qualifications. First, **the Hague figure is a political commitment with a 2035 horizon and a 2029 review, not appropriated money** — it constrains the debate but does not bind any US budget. Second, on the alliance's **core-defence** definition the US is already near ~3.2–3.4%, so the 3.5% core target is a **modest real increase** for the US (and a much larger one for the ~2% European allies); the additional 1.5% "broader security" category is loosely defined and partly re-labels existing spending. The commitment is best read as **raising the floor and shifting burden toward Europe**, not as a US-specific budget mandate.

5. All factors → a band, not a rate

For health and old-age we could point to a lever (price-per-outcome; the wage cap). Defense has **no comparable fiscal lever**, and pretending otherwise would be false precision. The factors **bound** a defensible range without determining a point:

- **Solvency/affordability.** At ~3.0% of GDP defense is affordable and is *not* the driver of the long-run deficit — mandatory health and old-age programs and net interest are (see the T1, T2, and

T5 papers). To size this: **net interest is already ~3.2% of GDP and is projected to rise toward ~5.4% by 2055** [SRC-CBO-LTBO] — i.e., interest on the debt alone now **rivals the entire defense function** and will exceed it. A defense cut is not where the arithmetic of solvency is decided.

- **History.** The US has sustained anywhere from ~3% (post-Cold-War) to ~6.5–7% (Reagan) in peacetime-ish conditions [SRC-OMB-HIST-6-1-FY2027, approximate]; ~3% is a floor that has been held, not a uniquely low aberration.
- **International.** The European NATO norm (~2%) sets a *lower* anchor; Poland (NATO) and the Hague 3.5% core set a *higher* one; the US's global role argues against simply converging to the European number.

Putting these together yields a **policy band of roughly 2.0–3.5% of GDP, stated on the NATO/SIPRI basis** so its endpoints are comparable:

Bound	Level (NATO/SIPRI basis)	What sets it
Lower anchor	~2.0% of GDP	the European NATO norm / old 2% floor — defensible only for a narrower posture
US current	**~3.2–3.4%**	status-quo global posture
Upper anchor	~3.5% of GDP	the Hague **core-defence** commitment (core 3.5 ≠ headline 5; the extra 1.5% is loosely-defined "broader security")
(Historical ceiling)	~6.5–7%	Reagan-era; a wartime/strategic-shock level, not a baseline

On the **OMB function-050** basis the same band runs ~2.0–3.5% with the US current at **~3.0%**; the two bases are shown separately and never netted. **The level inside this band is a strategic choice, not a fiscal one.** Our normative read — stated as a value judgment, not a finding — is **hold-to-modest-increase**: stay near the current ~3.0–3.5% to honor the Hague core target and the global posture, rather than cut toward 2% on a peer-norm argument that ignores the US role. Reasonable people who weigh the threat environment differently will pick a different point in the band; the analysis does not adjudicate that.

6. Distribution and incidence: who pays for defense

Defense is **not a contributory lane**. Unlike OASDI payroll, there is **no earmarked defense tax and no trust fund**; function 050 is financed from the **general fund — individual and corporate income taxes plus borrowing** [SRC-OMB-HIST-1-2-FY2027]. Three consequences for "who pays":

1. **Incidence follows the whole income-tax base.** The progressivity of defense financing is just the progressivity of the federal income tax (and, for the borrowed share, of whoever ultimately bears the debt) — there is no separate defense-specific distribution to design.
2. **A visible borrowed share — quantified.** Because the FY2025 budget ran a large deficit, a portion of every discretionary function — defense included — is **deficit-financed**. The deficit was about **26% of total outlays** in FY2025 [SRC-OMB-HIST-1-2-FY2027], so on a pro-rata general-fund basis roughly **a quarter of the $916B defense function — on the order of $235B — was**

borrowed, not tax-funded, in-year. This is an **illustrative proportional allocation, not a legal tag** (money is fungible; no statute assigns the deficit to defense). The borrowed quarter is ultimately paid by **future taxpayers**, who did not vote the appropriation — defense thus carries a **generational-incidence** wedge that a within-year "who pays" view misses, and that a defense lane should display rather than hide.

3. **No "defense premium" framing.** Calling defense a "tax lane" must not suggest a dedicated levy citizens pay for defense the way payroll funds Social Security; the honest label is **proportional/illustrative allocation of general revenue plus borrowing**, not legal dedication.

7. The needs, the problem, and the modernization case

Why the level feels contested. Defense spending is simultaneously at **record dollars**, a **near-historic-low GDP share (~3%)**, and **above the European norm** — so every side can cite a true number. The "problem" is not an obvious fiscal excess or shortfall; it is that the **right level is a judgment** and the budget cannot settle it.

The modernization case (about legibility, not the number). TAXLANE's contribution is not to pick the defense number — it is to make the number **legible**:

- Report defense on **all three bases** (% of outlays, % of GDP OMB-basis, % of GDP NATO-basis) so "is it high?" is answered with its comparator attached.
- Show the **borrowed share** of defense each year, so a "defense lane" never implies full current-year tax funding.
- Track the **Hague trajectory** (core 3.5% + broader 1.5%) as a *commitment* line distinct from *appropriated* spending.
- Keep the **strategic-judgment caveat** attached to any "fair rate" claim, so the lane does not manufacture false fiscal precision about a political choice.

8. Reform design: the defense lane

Defense is the canonical **discretionary, general-funded lane**, the opposite of the dedicated OASDI lane. Its operating rules in the lane model:

- `allocation_method = proportional` (or `illustrative`), **never** `legal_dedication`: no statute earmarks income tax to defense.
- `funding_source = general_fund + borrowing`; the lane must **publish the deficit-financed share** alongside the tax-financed share.
- `rate_rule`: defense carries **no shortfall_rule and no fair-rate target** — instead a **band annotation (2.0–3.5% of GDP)** with the basis labeled, and a pointer to the strategic-judgment caveat. The lane stores the *level* as an input set by appropriations, not an output the model computes.
- `benchmark_fields`: store the OMB-function %, the SIPRI/NATO %, and the Hague commitment line separately; never merge bases.

This makes defense auditable as a lane (what it cost, what share was borrowed, how it compares on each basis) **without** pretending the accounts can name the correct number.

9. Discussion and limitations

- **No fiscal "fair rate."** The headline limitation is deliberate: this paper does **not** derive a defense rate. It bounds a band and labels the choice inside it as strategic/normative.

- **Basis sensitivity.** US defense is ~3.0% (OMB function 050) vs ~3.2–3.4% (SIPRI/NATO); peer numbers are NATO/SIPRI basis. Conclusions about "above/below the norm" hold across bases, but exact gaps depend on the definition — never net them.
- **The Hague figure is a commitment, not a budget.** 5%-by-2035 (3.5%+1.5%) is a 2035 target with a 2029 review; the 1.5% "broader security" category is loosely defined. Treat it as a trajectory anchor, not appropriated money.
- **Burden-sharing ≠ over-spending.** "Above the European norm" reflects the US global posture and extended deterrence; it is not by itself evidence the US over-spends.
- **Efficiency/procurement.** Whether the US buys its ~3% of GDP *efficiently* (procurement, cost overruns) is a real and important question — the defense analog to the health paper's "price, not volume" point; the Department of Defense has **never passed a full financial audit**, which bears on *how well the money is spent* but is an **execution** question out of this paper's scope and does not change the **level** analysis. (Treated here as a flag, not a sourced finding.)
- **Out of scope:** veterans' benefits (function 700), international affairs (150), and homeland-security functions outside 050 are not "defense" here and are excluded.

10. Conclusion

US national defense is **high against its European allies (~3.0–3.4% vs ~2.0%) and low against its own history (~3% today vs ~14% in 1953, ~6.5–7% under Reagan)** — both true, on labeled bases that must not be merged. It is **$916,140M, 13.1% of FY2025 outlays**, funded from general revenue and borrowing with **no dedicated defense tax**. The live driver is the **Hague 5%-by-2035 commitment (3.5% core + 1.5% broader)**, a political trajectory, not an appropriation. The defensible range is a **band of ~2.0–3.5% of GDP**, and — unlike health or old age — **the accounts cannot pick the point inside it; strategy does.** TAXLANE's job is to make defense **legible**: report it on every basis, show the borrowed share, track the Hague line separately, and keep the strategic-judgment caveat attached — modernizing how defense funding is *seen*, while being honest that the *level* is a choice the budget does not get to make.

Sources

`SRC-OMB-HIST-3-2-FY2027`, `SRC-OMB-HIST-6-1-FY2027`, `SRC-OMB-HIST-1-2-FY2027`, `SRC-SIPRI-MILEX-2024`, `SRC-NATO-DEFEXP-2025`, `SRC-NATO-HAGUE-2025`, `SRC-CBO-LTBO`. All in `docs/sources/source-version-ledger.md`. Derived reconciliation: `data/extracted/outlay_function/table-3-2-national-defense-profile.md`.